INDUSTRY RATING

Commercial & Professional Services: Market Weight

Oil, Gas & Consumable Fuels: Overweight

Construction & Engineering: Overweight

(NBC Economics and Strategy)

Industrial Products

GFL / SES / TTEK wrap-up note post Q1/26 (FQ2/26 for TTEK) conference calls

GFL (Outperform, $81.00 PT from $78.00) - looking through SES volatility

There are still question marks from investors on the merits of the SECURE transaction; pro forma commodity-exposed top line would only be 7% to 8%, mitigating any real concerns there and, as we said in our flash note, more supportive permitting and regulatory environment on the back of the Spring Economic Update, more nation-building projects, etc., are all net positives for the pro forma entity. With investors aligning themselves with rapidly growing industrial companies that have exposure to AI spending (we are looking at Quanta Services for example – NYSE: PWR; Not Rated), waste peers, by extension, are lagging. One does not need to be bearish on AI but adding GFL at a pro forma 10x to 11x EV/EBITDA valuation does not feel like a bad proposition to us.

SES (Sector Perform, $23.00 PT from $21.00) - operationally, an in-line performance

There were few major surprises in the print, though management now expects full-year EBITDA to come in at the higher end of the reiterated $520 mln to $550 mln range (consensus and us are already there). Growth CapEx expectations were raised to $100 mln (from $75 mln), as the timing of previously announced infrastructure investments was pulled forward and incrementally higher investment into rail capacity for the metals recycling business. The recent spike in oil prices had a limited impact on financials, given the company's efforts to insulate the earnings profile from the volatility of commodity prices (high prices would need to stay consistently motivated to shift long-term production growth from the current level of +3% a year. The shareholder vote on the proposed GFL acquisition is set to take place on May 27th, and management reiterated the potential benefits of the deal – a view largely aligned with our stance. SES shares are currently trading at less than a -1% implied discount to the offer price, suggesting a high degree of confidence in the acquisition moving forward; we view the takeover price as fair.

TTEK (Outperform, US$38.00 PT unchanged) - unique asset given the company's end-market exposure

This was a good operational quarter, with an inflecting backlog to boot. While there were rightfully some questions around the slower growth expectations in State & Local to the +7.5% range at the mid-point vs. the prior 12.5%, it is important to note that this particular bucket represents 14% of net revenue in FQ2/26 (while others were upped as per our flash, and International unchanged). As the proportion of revenue is tilting more towards fixed-price work (48% in the latest quarter vs. 39% last year), there is greater scope for both margin improvements and DSO optimization. With leverage in the 1.0x net debt to EBITDA range, TTEK has a lot of optionality when it comes to capital deployment. Perhaps three years ago we would have expected chunkier M&A; now, with the AI overhang permeating the public / private spread (i.e., public market multiples contracted, private not so much… yet), we suspect that digitally enabled / focused M&A is likely to be more surgical. Given lacklustre recent reception to large-scale M&A, a wait-and-see approach is not a bad thing while compounding continues for the core business.

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For required disclosures, please refer to the end of the document.

GFL (Outperform, $81.00 PT from $78.00) - looking through SES volatility

There are still question marks from investors on the merits of the SECURE transaction; pro forma commodity-exposed top line would only be 7% to 8%, mitigating any real concerns there and, as we said in our flash note, more supportive permitting and regulatory environment on the back of the Spring Economic Update *(Greater sense of direction in Spring Economic Update that we view positively for our coverage)*, more nation-building projects, etc., are all net positives for the pro forma entity. With investors aligning themselves with rapidly growing industrial companies that have exposure to AI spending (we are looking at Quanta Services for example – NYSE: PWR; Not Rated), waste peers, by extension, are lagging. One does not need to be bearish on AI but adding GFL at a pro forma 10x to 11x EV/EBITDA valuation does not feel like a bad proposition to us; we reiterate our Outperform rating on GFL shares while marginally boosting the target price to $81.00 (from previous $78.00) on upped, M&A-driven guidance. Our target is derived using a 15.0x EV/EBITDA multiple on blended 2026E/2027E forecasts.

Figure 1: GFL - NAV

EV / EBITDA Multiple									Target
($ 000's, except per share)		2021A	2022A	2023A	2024A	2025A	2026E	2027E	2026E / 2027E
Adjusted EBITDA	15.0x	$1,463,700	$1,720,800	$2,003,700	$2,250,500	$1,985,000	$2,233,945	$2,519,430	$35,650,313
Minus: Net Debt									$6,191,102
Add: Remaining GIP Stake									$832,500
Add: Remaining ES Stake									$1,500,000
Equity Value									**$31,791,711**
Shares Outstanding - Diluted (000's)									390,536
Net Asset Value									**$81.41**
Current Share Price									$54.46
Potential Appreciation to NAV (Inclusive of Dividend)									**50%**

Source: NBCM, Company reports, LSEG

Conference call takeaways - pricing upside intact; Secure deal de-risks cash flows and expands capital flexibility; fuel volatility not an EBITDA risk; leverage discipline unchanged

- **Management reiterated strong conviction in closing the Secure acquisition in late Q3/26 and emphasized the asset quality and strategic fit.** Despite one public dissenting shareholder, management highlighted broad investor support, extensive engagement (60-70 calls) and significant board alignment (~$6 bln of combined board equity pro forma). Management indicated annual pro forma deployable M&A capital increases from ~$800 mln – $1 bln to $1.8 – 2.0 bln post transaction, while still deleveraging modestly. Secure's capital will shift away from diversification M&A toward high ROIC organic projects. Base synergies previously telegraphed included $25 mln of SG&A savings, but there is a path to $50-75 mln over 18-24 months from internalizing collection / disposal flows and cross-selling services to overlapping customers,
- **Pricing & Volume – pricing tailwind is flowing; volumes are neutral.** Management confirmed pricing is running ~20-30 bps above original plans, driven by better retention and continued portfolio price optimization. This equates to $15-$30 mln of incremental revenue/EBITDA from the +5% upped guide. Reported volume declines were driven by lapping hurricane and one-time transfer station volumes, plus severe winter weather. Normalized for these items, underlying volumes were positive and April roll-offs turned positive.
- **Fuel cost volatility dilutes margins in the near term but is not an EBITDA dollar risk, as commodity pricing impact has likely bottomed and now represents asymmetric upside.** Management was explicit that fuel surcharge mechanisms are designed to fully recover incremental diesel costs, albeit with timing lags (as seen in March). Net effect is margin compression near term but incremental upside for the balance of the year.
- **Canada materially outperformed on margins; U.S. performance masked by exogenous factors.** Canada benefited disproportionately from EPR-driven repricing and contract resets, driving outsized margin expansion. In the U.S., headline margins were weighed down by commodities, fuel, lapping hurricane volumes, winter storms and M&A integration, but underlying U.S. margin expansion was ~200 bps.

- **EPR capex is winding down and transitioning into a cash-flow contributor.** EPR-related growth capex is expected to decline to ~ $100–125 mln in 2027 (-5% below our expectations; hence, FCF should be better than expected next year) as most major contracts are now live or coming online through H1/26.
- **Leverage discipline of less than 3.5x times unchanged; Secure enhances the path to investment grade.** Management reaffirmed comfort operating at ~3.0–3.5x leverage, viewing this range as optimal for equity value creation. Secure accelerates scale and FCF, which rating agencies will credit over time. Borrowing costs are already close to IG levels (borrowing costs are only ~60 bps above what IG borrows at).

Q1/26 results recap - slight beat and impressive margin performance due to SG&A control; 2026E guide upped by +5% /4% on top line / EBITDA vs. previous guidance (function of good execution and previously announced M&A)

Revenue of $1,644 mln was in line with our own $1,624 mln forecast and the Street at $1,639 mln. Growth of +5.4% y/y consisted of +4.6% organic momentum, a +3.9% contribution from prior M&A and a -3.1% FX headwind. On an organic basis (pro forma ex-divestiture), Canada saw a material +7.2% y/y top-line acceleration, while growth in the U.S. market was more subdued at +3.4% y/y, but still solid. Headline organic growth of +4.6% y/y was driven by a +7.0% y/y pricing benefit, offset by headwinds in surcharges (-0.6% y/y), volumes (-1.2% y/y) and commodity prices (-0.6% y/y).

Adjusted EBITDA of $479 mln was a hair above consensus of $473 mln and our estimate of $468 mln as margins improved a significant +180 bps y/y to 29.1%, a Q1 record (driven by impressive SG&A % of Revenue intensity falling -210 bps y/y). On a pre-corporate cost basis, Canada margins increased +340 bps y/y to 31.3%, while U.S. margins moderated by -10 bps y/y to 33.7% on tough volume comps. Adjusted EPS came in at $0.08 (same as NBCM) and Street estimates of $0.10. Adjusted FCF was at -$24 mln vs. +$14 mln in Q1/25 – the delta being driven by higher capex on internal investments. Leverage edged up to 3.6x Net Debt/EBITDA vs. 3.4x at the end of last quarter, partially due to an FCF outflow this quarter and a further $57 mln worth of share repurchases this quarter.

Figure 2: GFL - Q1/26 Results Highlights

($ mln, except EPS)	Q1/26A	NBCM Q1/26E	Q1/25A	Y/Y Growth	Actual vs. Estimates	Comments
Revenue	$1,644	$1,624	$1,560	5.4%	1.2%	**Consensus: $1,639 mln**
Adjusted EBITDA*	$479	$468	$426	12.3%	2.4%	**Consensus: $473 mln**
*Adjusted EBITDA Margin**	*29.1%*	*28.8%*	*27.3%*	*180 bps*	*31 bps*	Pricing: +7.0% y/y; Volume: -1.2% y/y; M&A: +3.9% Gross margin down -20 bps due to commodity surge SG&A intensity (%) was down -210 bps y/y
Adjusted Diluted EPS*	$0.08	$0.08	-$0.09	-190.8%	3.7%	**Consensus: $0.10**

Source: NBCM, Company reports, Visible Alpha

** Adjusted EBITDA and EPS adds back $37.6 mln of SBC in Q1/26 and $58.4 mln in Q1/25.*

Change in estimates - reflecting cumulative impact of bolt-on M&A

Our underlying assumptions and drivers remain largely unchanged on a pro forma basis, but we have now incorporated an incremental +$440 mln in annualized revenues to reflect the acquisitions closed year-to-date (we are not modelling the contribution of SECURE, as the deal is still pending), taking our forecasts up to management's revised guidance.

Figure 3: GFL - Change in Estimates

					Y/Y Revenue Growth	
					10.8%	9.4%
($ 000's, except per share amounts)	Q1/26A	Q2/26E	Q3/26E	Q4/26E	2026E	2027E
Revenue	$1,643,800	$1,883,086	$1,920,842	$1,880,260	$7,327,987	$8,015,765
Prior Revenue	$1,623,577	$1,792,550	$1,822,882	$1,795,737	$7,034,746	$7,590,997
Adjusted EBITDA	478,500	576,824	610,198	568,423	$2,233,945	$2,519,430
Prior Adjusted EBITDA	467,512	544,556	584,889	553,396	$2,150,354	$2,392,918
Adjusted EBITDA Margin	29.1%	30.6%	31.8%	30.2%	30.5%	31.4%
Prior Adjusted EBITDA Margin	28.8%	30.4%	32.1%	30.8%	30.6%	31.5%
Adjusted Diluted EPS	$0.08	$0.14	$0.25	$0.14	$0.61	$1.20
Prior Adjusted Diluted EPS	$0.08	$0.11	$0.25	$0.16	$0.60	$1.08
Adjusted EBITDA (ex - SBC)	440,900	541,824	580,198	533,423	$2,096,345	$2,399,430
Prior Adjusted EBITDA (ex - SBC)	467,512	509,556	554,889	518,396	$2,050,354	$2,272,918
Adjusted EBITDA Margin (ex - SBC)	26.8%	28.8%	30.2%	28.4%	28.6%	29.9%
Prior Adjusted EBITDA Margin (ex - SBC)	28.8%	28.4%	30.4%	28.9%	29.1%	29.9%

Source: NBCM, Company reports

Comps

Table 1: Waste Comps

	Ticker	Rating	Currency	Local Price	Target Price	Dividend Annual	Dividend Yield	Total Return	% Off 52-wk High	52 week		Market Cap ($mm)	EV ($mm)	EPS 2026E	EPS 2027E	P/E 2026E	P/E 2027E	EBITDA ($mm) 2026E	EBITDA ($mm) 2027E	EV/EBITDA 2026E	EV/EBITDA 2027E
Municipal Waste																					
GFL Environmental Inc	GFL.TO	OP	CAD	$54.75	$81.00	$0.09	0.2%	48%	-24%	$71.82	$50.86	$19,627	$27,566	$0.61	$1.20	65.2x	33.4x	$2,234	$2,519	12.3x	10.9x
Waste Management Inc	WM	NR	USD	$232.16	NA	$3.42	1.5%	NA	-6%	$248.13	$194.11	$93,538	$115,871	$8.17	$9.26	28.4x	25.1x	$8,201	$8,791	14.1x	13.2x
Republic Services Inc	RSG	NR	USD	$208.32	NA	$2.41	1.2%	NA	-19%	$258.75	$201.42	$64,362	$78,103	$7.24	$8.06	28.8x	25.8x	$5,507	$5,866	14.2x	13.3x
Waste Connections Inc	WCN	NR	USD	$164.26	NA	$1.37	0.8%	NA	-17%	$199.00	$154.90	$41,735	$50,889	$5.50	$6.17	29.9x	26.6x	$3,318	$3,582	15.3x	14.2x
Casella Waste Systems Inc	CWST.O	NR	USD	$78.92	NA	-	-	NA	-35%	$121.24	$74.05	$5,020	$5,991	$1.17	$1.58	67.2x	50.0x	$465	$506	12.9x	11.8x
Municipal Waste Median							**1.0%**	**48.1%**	**-19%**							**29.9x**	**26.6x**			**14.1x**	**13.2x**
Specialty Waste																					
SECURE Waste Infrastructure Corp	SES.TO	SP	CAD	$23.22	$23.00	$0.42	1.8%	1%	-3%	$23.90	$12.61	$5,114	$6,188	$0.77	$1.00	30.1x	23.3x	$546	$595	11.3x	10.4x
Badger Infrastructure Solutions Ltd	BDGI.TO	SP	CAD	$65.71	$74.00	$0.78	1.2%	14%	-20%	$82.57	$37.00	$1,623	$1,812	$2.37	$3.24	20.3x	14.8x	$223	$256	8.1x	7.1x
Clean Harbors Inc	CLH	NR	USD	$311.56	NA	-	-	NA	-2%	$316.98	$201.34	$16,610	$18,141	$8.39	$9.36	37.2x	33.3x	$1,261	$1,335	14.4x	13.6x
Enviri Corp	NVRI.K	NR	USD	$19.72	NA	-	-	NA	-1%	$19.99	$6.55	$1,631	$3,068	-$0.50	$0.01	nm	1971.5x	$290	$332	10.6x	9.2x
Select Water Solutions Inc	WTTR.K	NR	USD	$16.85	NA	$0.28	1.7%	NA	-1%	$17.04	$7.20	$2,326	$2,164	$0.27	$0.48	63.1x	35.0x	$287	$322	7.5x	6.7x
Toro Co	TTC	NR	USD	$95.54	NA	$1.53	1.6%	NA	-9%	$105.19	$66.99	$9,260	$10,098	$4.55	$5.08	21.0x	18.8x	$732	$797	13.8x	12.7x
Alamo Group Inc	ALG	NR	USD	$172.17	NA	$1.24	0.7%	NA	-26%	$233.29	$156.30	$2,095	$1,931	$10.33	$11.89	16.7x	14.5x	$234	$256	8.2x	7.5x
WaterBridge Infrastructure LLC	WBI	NR	USD	$30.08	NA	-	-	NA	0%	$30.12	$18.64	$3,714	$6,320	$0.78	$0.83	38.6x	36.3x	$453	$533	13.9x	11.9x
Federal Signal Corp	FSS	NR	USD	$123.71	NA	$0.57	0.5%	NA	-7%	$132.89	$77.50	$7,533	$7,471	$4.79	$5.41	25.8x	22.9x	$516	$559	14.5x	13.4x
Specialty Waste Median							**1.2%**		**-4%**							**25.8x**	**28.1x**			**12.2x**	**10.5x**
Equipment Rental Companies																					
United Rentals Inc	URI	NR	USD	$958.66	NA	$7.34	0.8%	NA	-6%	########	$611.93	$60,057	$73,739	$47.02	$53.70	20.4x	17.9x	$7,772	$8,410	9.5x	8.8x
Sunbelt Rentals Holdings Inc	SUNB.K	NR	USD	$75.56	NA	$0.00	0.0%	NA	-3%	$78.05	$61.03	$31,003	$38,273	$3.75	$4.28	20.2x	17.6x	$4,741	$5,030	8.1x	7.6x
Herc Holdings Inc	HRI	NR	USD	$127.59	NA	$2.80	2.2%	NA	-32%	$188.35	$88.45	$4,261	$12,423	$6.83	$9.96	18.7x	12.8x	$2,087	$2,268	6.0x	5.5x
Equipment Rental Median							**0.8%**		**-6%**							**20.2x**	**17.6x**			**8.1x**	**7.6x**
MidStream																					
Pembina Pipeline Corp	PPL.TO	OP	CAD	$62.53	$63.00	$2.82	4.5%	5%	-3%	$64.27	$48.74	$36,349	$50,883	$2.86	$3.06	21.9x	20.4x	$4,379	$4,561	11.6x	11.2x
Keyera Corp	KEY.TO	SP	CAD	$52.19	$48.00	$2.12	4.1%	-4%	-6%	$55.35	$40.09	$14,726	$15,796	$2.12	$3.15	24.6x	16.6x	$1,646	$2,112	9.6x	7.5x
Gibson Energy Inc	GEI.TO	OP	CAD	$29.59	$30.00	$2.13	7.2%	9%	-3%	$30.50	$21.38	$5,103	$7,531	$1.30	$1.60	22.8x	18.5x	$649	$734	11.6x	10.3x
Midstream Median							**4.5%**		**-3%**							**22.8x**	**18.5x**			**11.6x**	**10.3x**

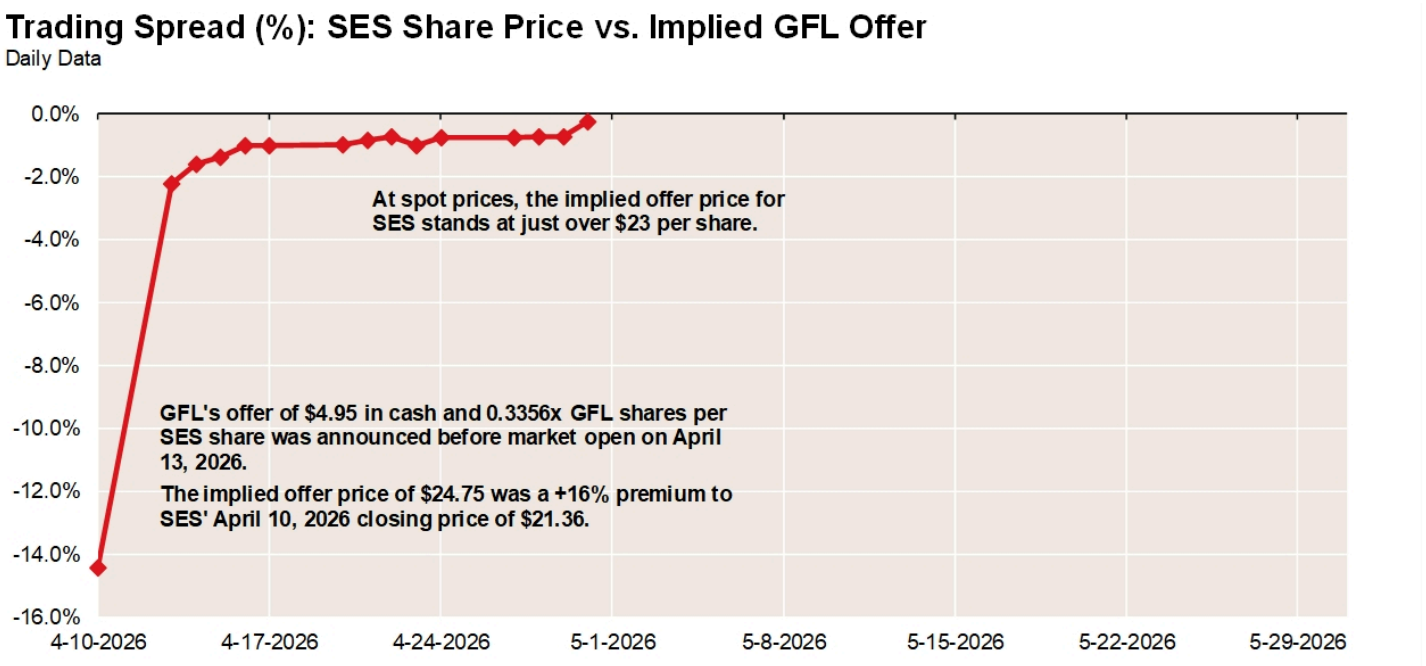
Source: NBCM, Company reports, LSEG

** PPL, KEY, and GEI are covered by NBCM Analyst Patrick Kenny. Estimates in the table represent LSEG consensus.*

SES (Sector Perform, $23.00 PT from $21.00) - operationally, an in-line performance

There were few major surprises in the print, though management now expects full-year EBITDA to come in at the higher end of the reiterated $520 mln to $550 mln range (consensus and us are already there). Growth CapEx expectations were raised to $100 mln (from $75 mln), as the timing of previously announced infrastructure investments was pulled forward and incrementally higher investment into rail capacity for the metals recycling business. The recent spike in oil prices had a limited impact on financials, given the company's efforts to insulate the earnings profile from the volatility of commodity prices (high prices would need to stay consistently motivated to shift long-term production growth from the current level of +3% a year. The shareholder vote on the proposed GFL acquisition *(see our take on the deal in Win win transaction amid improving commodity backdrop in Canada, Post M&A call takeaways: if you are bullish on the west (we are), the deal makes sense, and Arrangement agreement incrementals - potential timelines, pushbacks + spread data points)* is set to take place on May 27th, and management reiterated the potential benefits of the deal – a view largely aligned with our stance. SES shares are currently trading at less than a -1% implied discount to the offer price, suggesting a high degree of confidence in the acquisition moving forward; we view the takeover price as fair and reiterate our Sector Perform rating and raise our price target to $23.00 to reflect GFL's offer price.

Figure 4: The trading spread to GFL's offer price has now disappeared entirely



Source: NBCM, Company reports, LSEG

Q1/26 results recap - miss on revenue / EPS – but +4% beat on EBITDA as margin improvement impresses due to growth initiatives offsetting macro headwinds

Net revenues (excluding oil purchase and resale – no longer reported) came in at $383 mln, -3% below consensus at $398 mln (we were at $402 mln). The slight increase was totally driven by the contributions of the acquired Edmonton-based recycling facility (+$38 mln) higher steel pricing, and the commissioning of the first of two water disposal facilities in the Montney region. Waste processing, landfills and specialty chemicals revenue, were lower as a result of reduced field activity in the first quarter of 2026 (due to lower oil pricing entering the year). Adjusted EBITDA of $137 mln was +4% above the Street at $132 mln and just above our estimate of $133 mln; the 35.8% margin was +384 bps ahead of our and street expectations, helped by the aforementioned factors as well as the impact of ongoing cost optimization initiatives and positive steel price realization across core operations. EPS for the quarter was $0.16, below Street expectations of $0.23 and our $0.20 forecast (note that the company does not report an adjusted EPS number, so the metric is inclusive of quarterly "noise" and one-time events). Leverage came in at 2.3x (2.0x ex-leases) vs. 1.6x

(1.3x) a year ago and 2.1x (1.8x) last quarter. FCF (NBCM definition – after WC changes and total capex) for the quarter came in at + $3 mln vs. $38 mln in Q1/25, mainly driven by higher WC usage of -$51 mln vs. +$29 mln in Q1/25.

Figure 5: SES - Q1/26 Results Highlights

($ mln, except EPS)	Q1/26A	NBCM Q1/26E	Q1/25A **	Y/Y Growth	Actual vs. Estimates	Comments
Net Revenue	**$383**	**$402**	**$379**	1.1%	-4.8%	**Consensus: $398 mln**
Adjusted EBITDA*	**$137**	**$133**	**$121**	13.2%	2.8%	**Consensus: $132 mln**
*Adjusted EBITDA Margin **	*35.8%*	*33.1%*	*31.9%*	*384 bps*	*265 bps*	*Impact of Edmonton recycling contribution, new produced water / waste facility, slightly offset by lower field activity with low oil pricing in the beginning of 2026*
Diluted EPS	**$0.16**	**$0.20**	**$0.16**	-0.6%	-18.6%	**Consensus: $0.23**

Source: NBCM, Company reports, LSEG

** Revenue from Q1/25 have been restated. Adjusted EBITDA adds back $19 mln of SBC in Q1/26 and $10 mln in Q1/25.*

Change in estimates - largely unchanged

We slightly increased our CapEx expectations on updated guidance as the company continues to invest in expanding land acquisitions and purchase more rail cars for future metal recycling plants. Our estimates are unchanged otherwise, as we anticipate GFL's acquisition to close in Q3/Q4 of 2026E.

Figure 6: SES - Change in Estimates

					Y/Y Revenue Growth	
					8.3%	11.4%
($ 000's, except per share amounts)	Q1/26A	Q2/26E	Q3/26E	Q4/26E	2026E	2027E
Revenue	**$383,000**	**$381,265**	**$404,992**	**$413,729**	**$1,582,987**	**$1,763,935**
Prior Revenue	$402,275	$381,265	$404,992	$413,729	$1,602,262	$1,710,143
Adjusted EBITDA	**137,000**	**117,665**	**144,925**	**146,757**	**$546,347**	**$595,130**
Prior Adjusted EBITDA	133,221	117,665	144,925	146,757	$542,568	$578,353
Adjusted EBITDA Margin	**35.8%**	**30.9%**	**35.8%**	**35.5%**	**34.5%**	**33.7%**
Prior Adjusted EBITDA Margin	33.1%	30.9%	35.8%	35.5%	33.9%	33.8%
Diluted EPS	**$0.16**	**$0.14**	**$0.23**	**$0.24**	**$0.77**	**$1.00**
Prior Diluted EPS	$0.20	$0.14	$0.24	$0.25	$0.83	$0.96
Adjusted EBITDA (ex - SBC)	**111,000**	**109,665**	**136,925**	**138,757**	**$496,347**	**$563,130**
Prior Adjusted EBITDA (ex - SBC)	125,221	109,665	136,925	138,757	$510,568	$546,353
Adjusted EBITDA Margin (ex - SBC)	**29.0%**	**28.8%**	**33.8%**	**33.5%**	**31.4%**	**31.9%**
Prior Adjusted EBITDA Margin (ex - SBC)	31.1%	28.8%	33.8%	33.5%	31.9%	31.9%

Source: NBCM, Company reports

TTEK (Outperform, US$38.00 PT unchanged) - unique asset given the company's end-market exposure

This was a good operational quarter, with an inflecting backlog to boot. While there were rightfully some questions around the slower growth expectations in State & Local to the +7.5% range at the mid-point vs. the prior 12.5%, it is important to note that this particular bucket represents 14% of net revenue in FQ2/26 (while others were upped as per our flash, and International unchanged). As the proportion of revenue is tilting more towards fixed-price work (48% in the latest quarter vs. 39% last year), there is greater scope for both margin improvements and DSO optimization. With leverage in the 1.0x net debt to EBITDA range, TTEK has a lot of optionality when it comes to capital deployment. Perhaps three years ago we would have expected chunkier M&A; now, with the AI overhang permeating the public / private spread (i.e., public market multiples contracted, private not so much… yet), we suspect that digitally enabled / focused M&A is likely to be more surgical. Given lacklustre recent reception to large-scale M&A, a wait-and-see approach is not a bad thing while compounding continues for the core business. We rate TTEK shares Outperform with a US$38.00 price target, derived using a 14.0x EV/EBITDA multiple on F2027E forecasts.

Figure 7: TTEK - NAV

EV / EBITDA Multiple (US GAAP)								Target
(US$ 000's, except per-share data)		F2022A	F2023A	F2024A	F2025A	F2026E	F2027E	F2027E
Adjusted EBITDA	**14.0x**	$360,954	$481,096	$584,032	$661,658	$653,104	$727,408	**$10,183,707**
Minus: Net Debt at Period-End								$227,328
Equity Value								**$9,956,379**
Shares Outstanding (F/D)								261,919
Net Asset Value								**$38.01**
Current Share Price								$32.67
Potential Return - All Inclusive (Incl. Dividends)								**17.2%**

Source: NBCM, Company reports, LSEG

Conference call takeaways - backlog inflection post budget clarity, end-market demand momentum and fixed-price directionality underpin a good quarter

- **Management characterized Q2 as an inflection point for backlog, driven by U.S. federal budget clarity, International market strength and defense order release.** Once the U.S. federal budget was largely resolved in early Q2, TTEK saw a release of pent-up orders, particularly from U.S. defense agencies (Army Corps, NAVFAC, Air Force Civil Engineering), driving +8% sequential backlog growth and the revenue guidance increase for this segment for H2/26E. Defense contract backlog increased by +$650 mln in Q2 alone. Outside the U.S., the UK's AMP 8 water funding (double of AMP 7) continues to drive growth for TTEK. In Canada, TTEK is in early-stage positioning for Arctic/Northern infrastructure (ports, marine facilities, resiliency), although the benefits skew beyond FY26. Australia's post-COVID infrastructure lull is abating as mining strength (gold near $5k/oz), defense shore facilities and early Olympic-related work (Brisbane 2032) are emerging as tailwinds.
- **Rising fixed-price mix is directly correlated with margin expansion and working capital efficiency - and should act as a buffer to AI pricing erosion concerns.** Recall that fixed-price work has increased from ~37% in 2023 to ~48% YTD, with especially strong expansion within the GSG segment. Management reiterated fixed-price contracts carry higher margins and lower working capital intensity, and intend to continue shifting mix in this direction (a factor also considered when gauging M&A). Seasonal effects weighed on CIG margins in Q2 (down -100 bps y/y), but backlog composition points to convergence with GSG margins through the rest of the year – hence why management is guiding for +70 bps y/y EBITDA margin increase for 2026.
- **TTEK's role in data centres is concentrated at the front end of the lifecycle, where the nature of the risk and permitting complexity to clients make TTEK's services essential**. Developers increasingly require feasibility, sighting and permitting work to address community resistance, water availability, power sourcing and environmental constraints. TTEK currently supports 20+ active data centre feasibility assessments (vs. 100+ projects for Stantec – so TTEK's % exposure is lower), leveraging its integrated

water, environmental, planning and power expertise. While headline project announcements fluctuate, management stressed underlying market growth remains intact.

- **Management reiterated a disciplined, capability driven M&A approach, with ample balance sheet flexibility.** TTEK emphasized timing and strategic fit for M&A over deal volume as investor sentiment towards large-scale M&A has slightly soured, despite TTEK being in an enviable B/S position with leverage at 1.0x. Management will continue to prioritize acquisitions that enhance advanced analytics, digital automation and water leadership. Repurchases are an available option and will be continued to be done opportunistically.

FQ2/26 results recap - 5% beat and impressive ex-USAID margin improvement, 2026E guide upped to +9% growth in 2026 ex-USAID/DOS

Net revenues came in at US$1,050 mln (up +8% y/y if we exclude USAID/DOS and disaster recovery; -5% y/y on an as-is basis); +5% above consensus of US$1,003 mln and NBCM at US$1,037 mln. We estimate organic growth to be in the +5% to +6% range as TTEK closed three M&A deals in the past 12 months, adding an estimated 1,400 employees in total. Adjusted EBITDA (also including USAID/DOS) of US$146 mln also beat Street expectations by +5% of US$139 mln (NBCM at US$147 mln). EBITDA margin stood at 13.9% vs. the Street at 13.8% and NBCM at 14.2% (our assumption is that consensus is modelling numbers on an as-is basis including USAID/DOS and that's how we are presenting today's TTEK actual results) helped by a +100 bps gross margin increase but offset by -30 bps increase in adjusted SG&A as a % of Net Revenue. On the bottom line, adjusted EPS of US$0.34 was again above consensus of US$0.32 (NBCM at US$0.35).

Backlog at the end of the quarter stood at US$4.28 bln, slightly below US$4.35 bln in Q2/25 (but Q2/25 included USAID/DOS work that has now run off); on a like-for-like basis, q/q backlog was up +8%. Leverage inched down to 1.00x from 1.36x a year ago, helped by the increase in quarterly EBITDA. FCF in the quarter (NBCM definition) stood at US$157 mln vs. - US$13 mln in FQ2/25 helped by lower DSOs of 57 days vs. 67 days in FQ2/25 and also higher net income due to USAID/DOS work falling off.

Figure 8: TTEK - FQ2/26 Results Highlights

(US$ mln, except EPS figures)	FQ2/26A	NBCM FQ2/26E	FQ2/25A	Y/Y Actual Growth	Actual vs. Estimates	Comments
Net Revenue*	**$1,050**	**$1,037**	**$1,104**	-4.9%	1.2%	**Consensus: $1,003 mln**
Adjusted EBITDA*	**$146**	**$147**	**$144**	1.2%	-1.2%	**Consensus: $139 mln**
Adjusted EBITDA Margin	*13.9%*	*14.2%*	*13.0%*	*83 bps*	*-33 bps*	USAID / DOS roll-off and higher proportion of advisory / consulting work
Adjusted EPS*	**$0.34**	**$0.35**	**$0.33**	3.0%	-2.9%	**Consensus: $0.32**

Source: NBCM, Company reports, LSEG

** Revenue, EBITDA and EPS include remaining USAID / DOS work (Excluding USAID: Net Revenue / EBITDA / EPS of US$989 mln / US$132mln / US$0.33 in FQ2/26 vs. US $970 mln / $US133 mln / US$0.30 in FQ2/25).*

Change in estimates - slight tweaking growth cadence

In light of the directional guidance and YTD M&A, we marginally increased our forecasts as the company continues to see momentum in its end markets and now guides for +9% total growth vs. +8% prior (ex-USAID/DOS and disaster recovery). We also realigned our D&A and Interest expenses to correspond with the latest quarter more closely. Despite leverage sitting comfortably at 1.0x, we do not explicitly model any M&A in our forecasts and any future share repurchases or M&A would provide EPS upside to our estimates.

Figure 9: TTEK - Change in Estimates

			Y /Y Revenue Growth	
			-5.7%	8.3%
(US$ mln, except EPS figures)	FQ2/26A	FQ3/26E	FQ4/26E	F2026E	F2027E
Net Revenue	**$1,050**	**$1,084**	**$1,185**	**$4,356**	**$4,717**
Prior Net Revenue	$1,015	$1,072	$1,175	$4,300	$4,656
Adjusted EBITDA (GAAP)	**$146**	**$170**	**$191**	**$653**	**$727**
Prior Adjusted EBITDA (GAAP)	$141	$168	$189	$646	$711
GAAP Adjusted EBITDA Margin	**13.9%**	**15.6%**	**16.1%**	**15.0%**	**15.4%**
Prior GAAP Adjusted EBITDA Margin	13.9%	15.7%	16.1%	15.0%	15.3%
Adjusted Diluted EPS	**$0.34**	**$0.39**	**$0.46**	**$1.54**	**$1.77**
Prior Adjusted Diluted EPS	$0.31	$0.39	$0.46	$1.52	$1.78

Source: NBCM, Company reports

Comps

Table 2: E&C Comps

			Trading	Local	Target	Dividend		Total	% Off 52-	Market	EPS		P/E		EBITDA ($ mln)		EV/EBITDA	
Canadian Comps	**Ticker**	**Rating**	**Currency**	**Price**	**Price**	**Annual**	**Yield**	**Return**	**wk High**	**Cap ($ mln)**	**2026E**	**2027E**	**2026E**	**2027E**	**2026E**	**2027E**	**2026E**	**2027E**
WSP Global Inc	WSP.TO	OP	CAD	$225.91	$268.00	$1.50	0.7%	19%	-22%	$30,544	$10.99	$12.58	20.6x	18.0x	$2,593	$3,027	14.5x	12.5x
Stantec Inc	STN.TO	OP	CAD	$123.43	$143.00	$0.98	0.8%	17%	-23%	$14,079	$6.18	$6.95	20.0x	17.8x	$1,112	$1,239	14.0x	12.5x
Atkinsrealis Group Inc	ATRL.TO	OP	CAD	$91.93	$108.00	$0.08	0.1%	18%	-14%	$15,210	$4.21	$4.86	21.5x	18.5x	$1,088	$1,234	13.5x	11.8x
Aecon Group Inc	ARE.TO	OP	CAD	$48.70	$59.00	$0.77	1.6%	23%	-8%	$3,483	$1.41	$1.70	32.5x	27.2x	$259	$286	14.4x	13.1x
Bird Construction Inc	BDT.TO	OP	CAD	$48.63	$48.00	$0.84	1.7%	0%	-3%	$2,693	$2.69	$3.37	18.1x	14.4x	$239	$291	12.0x	9.9x
NA Const. Group	NOA.TO	OP	CAD	$20.13	$28.00	$0.48	2.4%	41%	-19%	$586	$2.86	$3.75	7.0x	5.4x	$388	$407	3.6x	3.4x
Median							**1.2%**	**18%**	**-17%**				**20.3x**	**17.9x**			**13.7x**	**12.1x**
U.S. Comps																		
Jacobs Solutions Inc	J	NR	USD	$127.98	NA	$1.28	1.0%	NA	-24%	$15,031	$7.16	$8.02	17.9x	16.0x	$1,374	$1,500	12.2x	11.2x
AECOM	ACM	OP	USD	$83.86	$127.00	$1.24	1.5%	53%	-38%	$11,068	$5.87	$6.80	14.3x	12.3x	$1,278	$1,462	9.8x	8.6x
Tetra Tech Inc	TTEK.O	OP	USD	$32.67	$38.00	$0.26	0.8%	17%	-24%	$8,557	$1.54	$1.77	21.2x	18.5x	$653	$727	14.1x	12.7x
Fluor Corp	FLR	NR	USD	$53.33	NA	$0.00	0.0%	NA	-7%	$7,631	$2.76	$3.25	19.3x	16.4x	$547	$619	8.7x	7.7x
KBR Inc	KBR	NR	USD	$37.24	NA	$0.66	1.8%	NA	-34%	$4,722	$3.98	$4.20	9.4x	8.9x	$987	$1,014	6.8x	6.6x
Tutor Perini Corp	TPC	NR	USD	$91.64	NA	$0.06	0.1%	NA	2%	$4,822	$4.40	$5.73	20.8x	16.0x	$443	$516	9.6x	8.2x
Median							**0.9%**		**-24%**				**18.6x**	**16.0x**			**9.7x**	**8.4x**
International Comps																		
Sweco AB (publ)	SWECb.ST	NR	SEK	$126.20	NA	$3.70	2.9%	NA	-30%	$45,842	$7.06	$7.81	17.9x	16.2x	$3,420	$3,852	15.1x	13.4x
Arcadis NV	ARDS.AS	NR	EUR	$36.40	NA	$0.89	2.5%	NA	-29%	$3,292	$3.04	$3.52	12.0x	10.4x	$446	$500	9.2x	8.2x
Worley Ltd	WOR.AX	NR	AUD	$11.82	NA	$0.50	4.2%	NA	-20%	$5,830	$0.81	$0.97	14.6x	12.2x	$979	$1,089	7.7x	6.9x
Acciona SA	ANA.MC	NR	EUR	$247.40	NA	$5.65	2.3%	NA	-5%	$13,572	$8.63	$9.62	28.7x	25.7x	$2,681	$2,799	8.3x	8.0x
Saipem SpA	SPMI.MI	NR	EUR	$4.61	NA	$0.17	3.7%	NA	-4%	$9,192	$0.23	$0.30	19.8x	15.3x	$1,924	$2,066	4.9x	4.6x
Sacyr SA	SCYR.MC	NR	EUR	$4.68	NA	$0.00	0.0%	NA	-4%	$3,769	$0.26	$0.26	17.8x	18.0x	$1,418	$1,491	8.3x	7.9x
Balfour Beatty PLC	BALF.L	NR	GBP	$8.16	NA	$0.23	2.8%	NA	-3%	$3,975	$0.49	$0.56	16.6x	14.6x	$399	$431	7.9x	7.3x
Tecnicas Reunidas SA	TRE.MC	NR	EUR	$35.26	NA	$0.00	0.0%	NA	-9%	$2,831	$2.57	$3.26	13.7x	10.8x	$381	$445	6.8x	5.8x
Median							**2.6%**		**-7%**				**17.2x**	**14.9x**			**8.1x**	**7.6x**

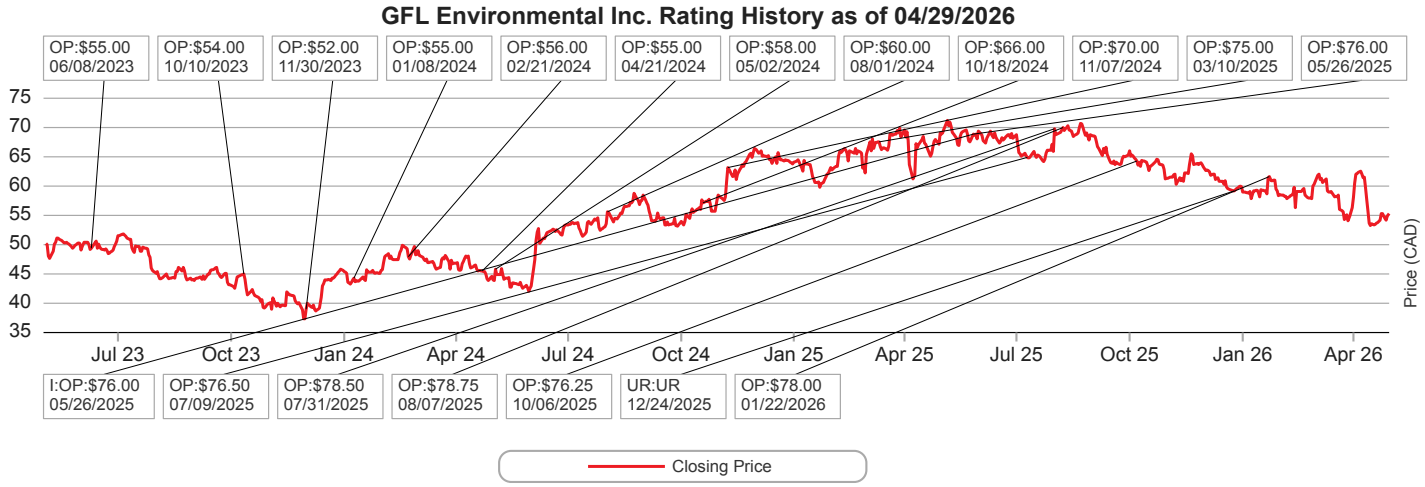
Source: NBCM, Company reports, LSEG

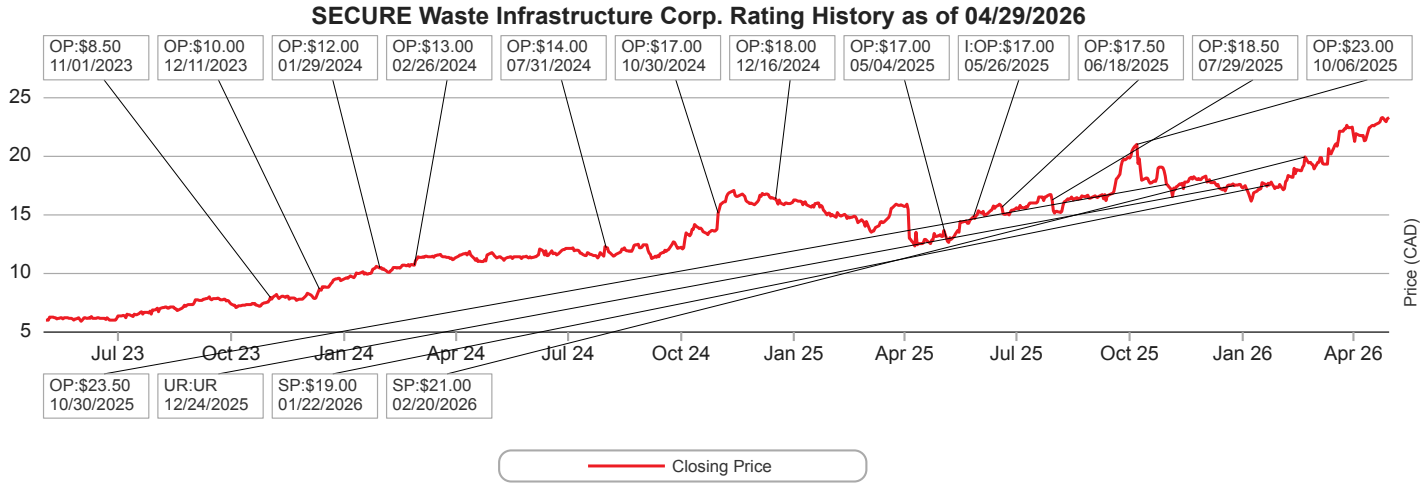
** Note that AtkinsRéalis and Aecon estimates are comped ex-concessions and Bermuda, respectively.*

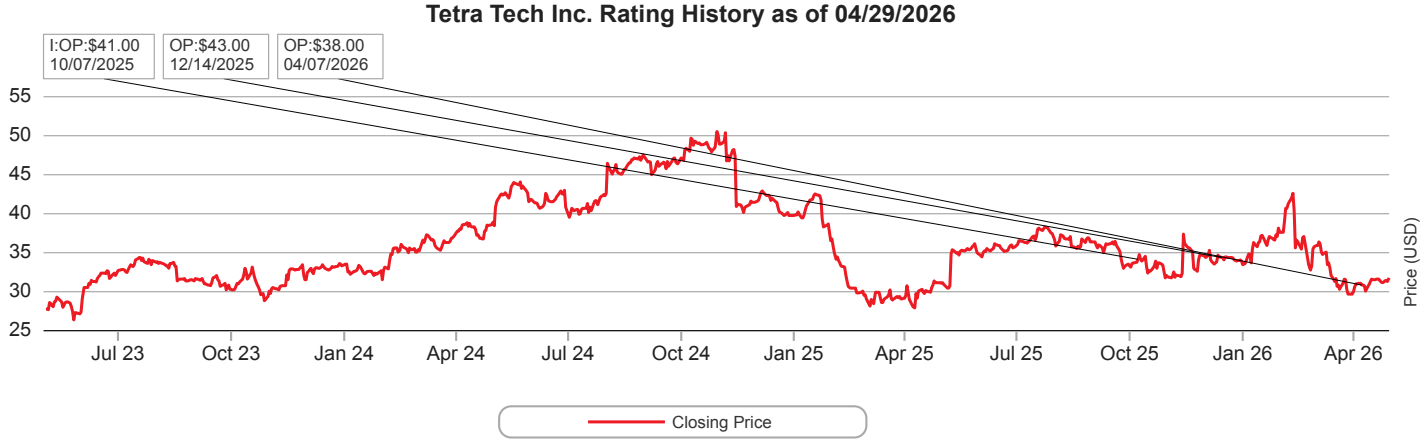
*** Canadian EBITDA estimates and multiples are based on ex-IFRS 16 (subtract lease payments) for an apples-to-apples comparison with US peers.*

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Changing government regulations: Solid waste is subject to extensive and evolving laws and regulations administered by the EPA, Environment and Climate Change Canada (ECCC) and various other government agencies.

M&A: As consolidation continues, it may become harder to source and more expensive to close acquisitions. GFL is the smallest of the majors but targets the highest volume of M&A, which could surface integration risks.

Interest rates: GFL's M&A target and shorter debt duration suggest it will need to add/renew debt in the coming years, at which costs will be more sensitive to the level of interest rates.

SES

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Changing government regulations: Solid waste is subject to extensive and evolving laws and regulations administered by the EPA, Environment and Climate Change Canada (ECCC) and various other government agencies.

Opposition to waste disposal facility construction: Vocal opposition to waste disposal facility construction by residents could limit the growth opportunities for SES.

TTEK

Concentrated exposure to U.S. Government clients remains despite USAID / DOS runoff.

Transition to more fixed price work increases execution risk, including to exogenous factors.

Lack of offshore design centres curbs ability to constrain wage inflation.

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GFL Environmental Inc. 2, 3, 4, 7
SECURE Waste Infrastructure Corp. 2, 3, 4, 6, 7, 381
Tetra Tech Inc.
AECOM
Aecon Group Inc. 2, 3, 4, 7
AtkinsRéalis Group Inc. 2, 3, 4, 6, 7, 10, 13, 14, 1001
Badger Infrastructure Solutions Ltd.
Bird Construction Inc. 2, 4, 6, 7, 9
Gibson Energy Inc. 2, 3, 4, 6, 7, 378
Keyera Corp. 2, 3, 4, 6, 7
North American Construction Group Ltd. 2, 3, 4, 6, 7, 9, 10
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